

Outlook

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Stop treating transaction count as customer value

Morning,

I need help with something that sounds simple but probably is not.

Finance needs a customer-value proxy for planning, but a full profitability engine and cost allocation are not available. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases.

The questions I would ask in the room are:

1. What would we expect to see if high activity is being offset by service and fee friction?
2. What evidence would instead support that recurring inflows and product depth identify durable value?
3. How do we rule out that some low-volume relationships are strategically valuable because of loan or deposit behaviour?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use October 2020 as the new evidence point rather than recycling the earlier conclusion. Please work towards how to segment relationships for planning without pretending the proxy is accounting profit. A useful output would be a short decision pack with no more than five slides and an attached evidence table.

Use monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; customer contacts, complaints and suggestions; campaign design and customer responses. One caution: Label the result as a value proxy. It is not net interest margin, return on equity or customer profitability.

Regards